

Private Credit Case / Term-Structure Derivation

Session 29 • Track 1: Direct lending case • Track 2: $\pi(L,T)$ derivation from MFG

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Primary Text: Liquidity Illusion (Forthcoming, 2026)

Graduate Finance Course • Spring 2027 • Session 29 of 32

Session 29: split-track agenda

TRACK 1 (Practitioner)

Private credit case workshop

- ▶ Case: Direct lending fund — Ares Capital
- ▶ Credit-specific term structure (shorter tenor)
- ▶ Apply LA-PME to a private credit portfolio
- ▶ Group exercise: rate-regime impact on private credit
- ▶ Deliverable: 2-page case memo

TRACK 2 (Researcher)

Term structure derivation

- ▶ Solving the HJB equation for $V(L, T-t)$
- ▶ Closed-form for OU + linear premium
- ▶ Asymptotic behavior as $T \rightarrow 0$ and $T \rightarrow \infty$
- ▶ Empirical fitting procedure
- ▶ Problem: derive $\pi(L, T)$ formula in closed form

Session 29 summary

What we accomplished today

- 1 Session 29 runs split-track: practitioners and researchers work on different deliverables
- 2 Track 1: case-based, applied analysis with deliverable IC memo
- 3 Track 2: theoretical, with deliverable problem set or proof
- 4 Both tracks reconvene in Session 32 for final project presentations

Next session

Session 30: continued split-track or capstone